1.2 Specialization and Trade

Video: Specialization and Trade (Crash Course Economics)

The Source of Prosperity

It wasn't until the _____ that people saw a significant and sustained increase in their standard of living.

Adam Smith, the first modern economist, wrote The Wealth of Nations. He concluded that _____, which he called the _____, made countries wealthy.

Specialization: The Pizza Example

In a pizza restaurant, each worker has a specific task. This makes each worker more _____ because they focus on what they do best and don't waste time switching between jobs.

Without specialization, if you want something, you have to _____.

Specialization makes people more productive, but Adam Smith said it's _____ that makes them better off.

The Production Possibilities Frontier (PPF)

The _____ shows the different combinations of two goods being produced using all resources efficiently.

Point on the graph	Meaning
Inside the curve	_____ use of resources
On the curve	Efficient
Outside the curve	_____ with current resources

Absolute vs. Comparative Advantage

Example: the U.S. can make 500 planes or 1000 tons of shoes per day. China can make 100 planes or 800 tons of shoes per day.

For the U.S., each plane costs _____ of shoes. For China, each plane costs 8 tons of shoes.

Term	Meaning	Example

	Can produce more of a good	The U.S. can produce more planes and more shoes
	Has a lower opportunity cost	China, in the production of _____

Countries should specialize in what they have a comparative advantage in and then trade. This trade is _____.

Trade in the Real World

The U.S. is the world's leading manufacturer and exporter of airplanes, but produces less than 2% of the world's shoes, choosing to _____ them.

Some people argue trade destroys domestic jobs; for centuries, most economists have argued that trade is mutually beneficial. Trade also raises issues such as child labor, dangerous working conditions, and pollution.

Countries that opened their doors to trade, like Japan and Taiwan, and more recently China and India, saw massive improvements in their _____.

Mr. Clifford: "_____ is inefficiency, and inefficiency can lead to poverty."

Think About It

Think of something you use every day. How many specialized workers do you think it took to make it, and why is that better than making it yourself? _____